

bear fruit and is the dimension on which a lot of our future growth and change will come,” he says. It has been an effective way to not just retain people but get in fresh talent. Small wonder then that TCS’s employee strength is up at almost 557,000 during the last calendar year; the corresponding number in 2017 was 391,000.

Analysts remain bullish on TCS’s business model and how the pieces have come together. “Their disciplined approach towards investments in building capability organically, making the early investments in emerging technologies, a strong talent pool, a stable management team, and returning 80-100 per cent of free cash flow to shareholders make it quite unique,” points out Gaurav Dua, Head-Capital Market Strategy, Sharekhan by BNP Paribas. To him, from an investment point of view, factors such as “strong cash flow generation, industry leading margins, lowest attrition rate and superior return ratios” are big pluses.

ORGANIC GROWTH STORY

Stepping into the big shoes of N. Chandrasekaran (who is now Chairman of the Tata group), Gopinathan continued to follow the company’s principles—‘growth is a source of our energy’ and ‘live our values, realise your potential’. The former, in particular, struck a chord since growth, to him, has multiple aspects. In fact, he dwells more on organic growth. “To us, it is also about organic talent development. We are asking our people to be on their toes when it comes to what the customer wants next. That keeps the organisation young at heart because you are constantly learning and also trying out new things,” he explains. It is not as if TCS is not kicked about making that big buyout. With a smile, he says people keep asking him why TCS is always talking about organic growth. He has a pretty straight answer: “We are not against inorganic growth, but isn’t organic growth the measure of health? Everything else can be added on top of that and that is really the history to it.”

Neerav Dalal, Research Analyst, MIB Securities India, elaborates on this strategy. “TCS has done the least acquisitions within the IT services peers, be it Indian or global. In reality, it has not done any, and announcements of acquisition of business carve-outs are really a part of large deals such as acquiring Postbank Systems from Deutsche AG or Pramerica Technology Services from Prudential Financial. It is just re-badging of employees from client rolls to its own rolls,” he says.

Meanwhile, Dua of Sharekhan is of the view that TCS has been very conservative on inorganic growth.

Super Large Companies

Rajesh Gopinathan

CEO and MD, TCS

Revenue from operations	FY21	1,35,963
	Q3 FY22	40,845
Profit before tax	FY21	40,902
	Q3 FY22	12,879
Profit after tax	FY21	30,960
	Q3 FY22	9,959
	RoE (%)	42.02
	Market Cap	13,97,723.55

- Standalone results; all figures in ₹ crore except RoE
- M-cap as of February 7
- Data Source: BSE, ACE Equity

“The management looks at it as a once-in-a-decade opportunity and looks at economic downturns as probably the best time for this, since there are fewer buyers. The approach has instead been to look at capability enhancement and market access through the inorganic route, which in turn can lead to growth.”

HOLDING IT TOGETHER

In a dynamic environment as one sees today, Gopinathan believes it is critical to demonstrate high levels of agility on business planning. That means having a clear mind and knowing the key anchors on which the business is based.

“For us, the primary anchor is the customer and our own talent. I joke internally that we bring in a third angle called investors,” Gopinathan elaborates. Connecting all three is high retention, which brings to the table a big advantage. “You cut back on churn and keep moving forward. The focus is on the customer and employee, and you constantly invest to stay ahead,” explains Gopinathan. That leads to little impact when change takes place. “You don’t need to be too far ahead of the curve in terms of trying to predict what the future is going to be. You just need to be agile enough to move with it,” he says. That is a lot of simple thought, but one that ensures the company stands apart. **BT**

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